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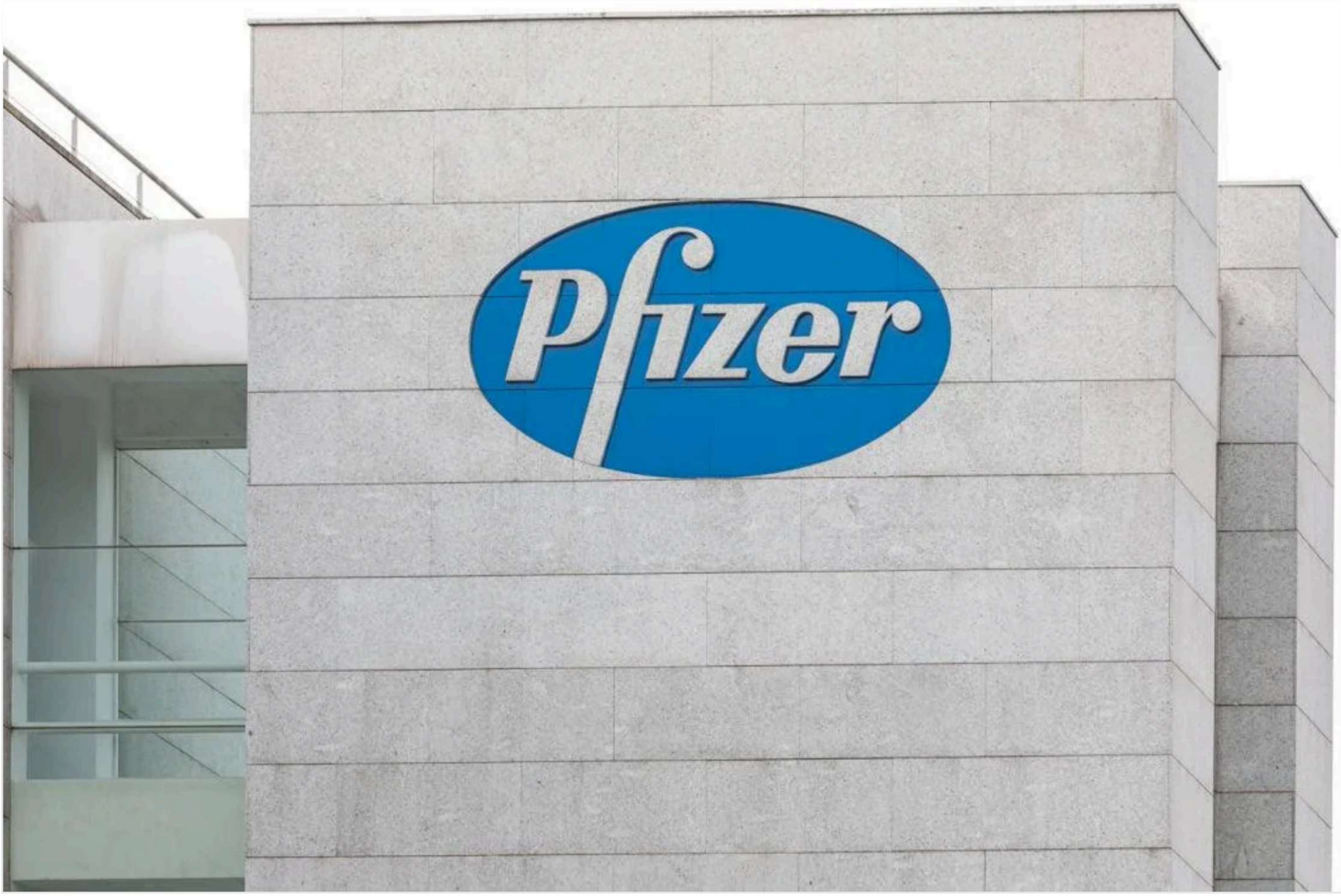
r/biotech • 3y ago
chuwolhada

Pfizer completes the acquisition of Seagen today



fiercepharma.com Open

Pfizer-Seagen Discord: https://discord.gg/yJurFycqMx

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oldmanartie • 3y ago

These companies have very mismatched cultures. Best of luck, Seattle.

28 Reply ···

skykomish_fly • 3y ago

Pink slips incoming. May the odds be ever in your favor.

53 Reply ···

Puzzleheaded_Soil275 • 3y ago • Edited 3y ago

It's a gamble of course, but Pfizer is missing the GLP-1 train so not shocking that they are trying to make a splash in the ADC space. Some of their PD1/PDL1 products might also be bumping up against loss of exclusivity in the next 5ish years (I don't remember specifically, but these have been on the market ~10 years right?).

Edit: it's not the PD1s/L1s losing exclusivity, but they do have a pretty huge patent cliff approaching in next 5 years from Eliquis/Ibrance

https://www.fool.com/investing/2023/05/30/pfizer-heading-for-patent-cliff-is-stock-a-buy/#:~:text=Coronavirus%20products%20face%20a%20significant,revenue%20from%202025%20through%202030.

43B is a huge number. But it's not like Seagen was some unproven company before that. They have probably the most robust ADC pipeline in the industry, with maybe Daiichi at second?

[deleted] • 3y ago

This still sounds like a bad buy for Pfizer. Seagen is not going to perform as Pfizer CEO likes to suggest and are simply riding the cyclical wave of ADC news

McChinkerton • 3y ago

If you look at Seagen's filings, their biggest risk is manufacturing capacity and over reliance on CMOs. Pfizer being as big as they are have A LOT of capacity and can save a lot just by bringing things back internally. That is... if shit goes right for the rest of Seagen's pipeline

Puzzled-Ad3812 • 3y ago

CDMOs are how almost all large scale productior
produced across multiple CDMOs only touching

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team at that point.

[deleted] • 3y ago

Stock is close to $25 ($26 now) very sad for those let go and having RSUs vest upon departure.

[deleted] • 3y ago

Help me understand why Pfizer would pay $43 billion for a company and only expect $10 billion in profit from the merger by 2030? At that rate it would take another twenty plus years to break even.

Puzzleheaded_Soil275 • 3y ago

Sure, you misunderstood the article.

Pfizer if forecasting 10b in revenue *annually*, with gross margins on that revenue normally in the 70-80% range.

Keep in mind that this is their guesstimate based on what's currently approved and what they expect to get approved. Obviously any early stage assets they acquired that surprise to the upside (or late stage assets that surprise to the downside) could change those estimates significantly.

[deleted] • 3y ago

Unless Pfizer actually leverages this acquisition to implement a broader bioconjugation strategy then it will be a waste considering the potential 10 years needed to break even. ADCs are pretty problematic and companies are grabbing the low hanging fruit meaning further therapeutic development to provide meaningful revenue streams will be difficult especially if they only focus on the oncology side of things.

Puzzleheaded_Soil275 • 3y ago

SGEN was a 30b company and had grown 4x in market cap since 2019 *before* the Pfizer acquisition so, objectively, it was a good company making significant progress in the oncology and especially ADC space before Pfizer got involved at all.

Can Pfizer **** it up? Of course they can. Pfizer can **** up anything. But let's not act like this was spending billions on some preclinical company with no proven assets. Seagen is a mature, commercial stage company already doing 2B/year in revenue with a *humongous* pipeline. Pfizer has significant assets losing exclusivity in the next 5 years and is missing the GLP-1 train so far. ADCs were a very, very natural area for them to go after and try to establish a strong presence. Your personal bias against ADCs is meaningless.

The Merck/Daiichi deal was almost certainly i

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[deleted] • 3y ago

I didn’t ask you why they did this, I know why they did this. That was another commenter.

I’m suggesting without a longer term strategy this will simply be an addition to their faltering pipeline to help prop it up over the next 5-10 years as they evaluate their next move.

And I’d suggest not looking at market cap directly cause that isn’t a great indication of potential success. Hell their P/E ratio has been negative suggesting something is wrong.

Even if they sustain 25% growth (which is not guaranteed given the competition in the oncology space) it’s still a long term play with the only supposed upside being Pfizer’s ability to scale, but scaling means nothing if demand remains constant and was already being met.

Heck these therapies are most likely extremely difficult to make as biosimilars which cements future revenue as many don’t attempt to put the large amount of money in that’s required to develop them even after patents expire.That might be the only other upside

Puzzleheaded_Soil275 • 3y ago

> Hell their P/E ratio has been negative suggesting something is wrong.

If you've been in the biotech world for even a month, you know this is because they are spending a ton of money on R&D and commercial ramp up takes a while. PEs are about 95% meaningless in biotech.

[deleted] • 3y ago

And so are market caps for many companies. That was my point.

Seen a lot of biotechs and smaller biopharma show up with big caps to simply not perform well or just skirt by on cheap capital

Puzzleheaded_Soil275 • 3y ago

> Help me understand why Pfizer would pay $43 billion for a company and only expect $10 billion in profit from the merger by 2030?

Sounds a hell of a lot like asking "why did they do this"

[deleted] • 3y ago

Puzzleheaded_Soil275 • 3y ago

I did misread that, fair enough. Apologies.

kitamia • 3y ago

Can you provide some sources for your ADC comments?

[deleted] • 3y ago

saltyguy512 • 3y ago

$10 billion annually. The acquisition is expected to pay for itself no later than 2034.

IceColdPorkSoda • 3y ago • Edited 3y ago

Their expertise in ADC's? Great pipeline?

ColombianSpiceMD86 • 3y ago

THis is why all the lay-offs, save money, buy more approach? Interesting what they are doing.

Vervain7 • 3y ago

This is standard operating procedure for Pfizer

Different_Egg9052 • 3y ago

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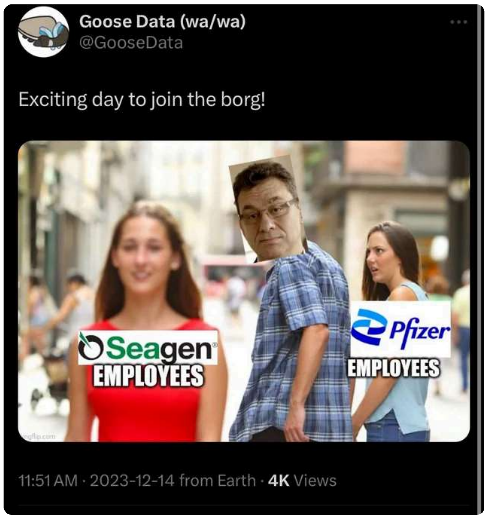
gunzgoboom • 3y ago

30% of RnD was laid off

biochirp • 3y ago



KarlsReddit • 3y ago

ADCs are so cyclical. Good luck. Best targets already taken. Very problematic modality.